

Adidas AG - Legal & Contracts Due Diligence FY2024

Corporate Structure

Adidas AG is incorporated under German law (Aktiengesellschaft) and listed on the Frankfurt Stock Exchange. The two-tier board structure comprises a 12-member Supervisory Board and a 5-member Executive Board led by CEO Björn Gulden. Key subsidiaries include Reebok International (acquired 2006, divested to ABG in 2021), Adidas America Inc., Adidas (China) Co. Ltd., and Five Ten (outdoor brand). The company employs 59,000+ full-time equivalent employees globally.

Material Litigation & Regulatory

Matter	Jurisdiction	Status	Estimated Exposure
Yeezy IP dispute (West / Donda)	US Federal, CA	Settlement negotiations	EUR50M-EUR200M
Patent (Nike - Flyknit equivalent)	US District Court	Stayed pending IPR	Undetermined
EU worker exploitation claim	European Parliament	Inquiry stage	Reputational
French competition probe (retail pricing)	Autorité de la concurrence	Preliminary	Up to EUR120M
Australia consumer law (sustainability claims)	ACCC	Under review	AUD 10M
German supply chain act compliance	BaFA	Audit ongoing	Operational

Intellectual Property

Adidas holds 6,800+ active patents covering Three-Stripe design (landmark trademark), Boost midsole technology, Primeknit upper construction, and 4D lattice printing. The Three-Stripe trademark has faced repeated challenges in Europe; the EUIPO partially invalidated it in 2023 but Adidas has appealed. Core technology patents (Boost, Primeknit) run through 2028-2031. Key licensing deals include the Ivy Park collaboration (Beyoncé), Y-3 with Yohji Yamamoto, and PALACE Skateboards.

Key Contracts & Commitments

Contract Type	Counterparty	Expiry	Annual Value
UEFA sponsorship	UEFA (Champions League)	2030	EUR100M/yr
FIFA World Cup partner	FIFA	2030	EUR70M/yr
NFL kit supplier	NFL	2028	\$75M/yr
Ivy Park / Beyoncé	Parkwood Entertainment	2025 (renewals)	~EUR30M/yr
Y-3 / Yohji Yamamoto	Yohji Yamamoto Inc.	2026	~EUR15M/yr
Key manufacturing (Pou Chen Group)	Contract mfg (22% of footwear)	Rolling	~EUR3.5B/yr

Compliance & ESG

Adidas is subject to the German Supply Chain Due Diligence Act (LkSG) effective 2023, requiring annual human rights risk assessments across tier-1 and tier-2 suppliers. Current CDP rating is A- (Climate Change). Adidas has committed to 30% recycled polyester in all products by 2025 (currently at 62% for own-brand materials). Science-Based Targets approved for 15% Scope 1+2 reduction by 2025 and 30% Scope 3 by 2030. No material sanctions or export violations identified in the diligence period.